EXECUTIVE SUMMARY

I. Introduction

Old folks in Amulung claim that the place got its name from a vine, which was then abundant in the forest. Natives called this vine "Am-a-mulung". Since then, the place came to be known as Amulung up to its operation as a Municipality on December 15, 1734.

Amulung is 26 kilometers north of Tuguegarao City and could be reached in 35 minutes by land transportation. It has 47 barangays and classified as a second (2nd) class Municipality, covering an area of 24,220 hectares and populated by about 42,754 inhabitants.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the Local Government Units to include not only on the ability to create sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the National Government's thrust for sustainable social and economic development.

II. Scope and Objectives of Audit

The scope of the audit covers the period ending December 31, 2025.

The objective of the audit is to determine whether the resources of LGU – Amulung, Cagayan have been managed, expended or utilized in accordance with existing laws, rules and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government. The audit also aims to allow the Audit Team to render an opinion on the fairness of the financial statements of the LGU.

III. Financial Highlights

The highlights of the financial condition and results of operation of the Municipality of Amulung, Cagayan for the year ended December 31, 2025, with comparative figures for CY 2025, are as follows:

Particulars	2025	2024	Increase/(Decrease)
Assets	₱1,061,476,967.29	₱820,695,165.21	129.34%
Liabilities	101,492,559.65	86,514,295.99	117.31%
Government Equity	959,984,407.64	734,180,869.22	130.76%
Income	328,126,509.34	256,735,144.32	127.81%
Expenses	282,275,424.76	250,478,152.24	112.69%
Net Income	32,021,821.31	(6,588,299.25)	486.04%

IV. Operational Highlights

The major accomplishments of the Municipality for CY 2025, in terms of implementation of programs, projects and activities (PPAs), are as follows:

Name of Program/ Project/ Activity	Amount
Continuation/Completion/Concreting of Tana-Pacac Grande Farm to Market Road	₱997,196.07
Continuation/Concreting of Bayabat Farm to Market Road	997,998.76
Concreting of Masical Farm to Market Road (Purok 4, 5,6)	1,997,609.29
Construction of Multi-purpose School Building at Dadda E/S Phase 1	2,397,392.55
Construction of Cordova Child Development Center	1,295,785.19
Construction of Masical Child Development Center	1,271,226.02
Continuation/Concreting of Baculud (Sitio Pinas) Farm to Market Road	996,728.11
Improvement of Main Functional Building	2,994,694.38
Construction of Two Storey 6CL Building at Gabut Integrated School Phase 2	495,608.93
MERR Development Program for Barangays under Municipal Ordinance No. 2023-13	2,303,000.00
Total	**₱15,747,239.30**

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the presentation of the financial statements of the Municipality of Amulung, Cagayan as of December 31, 2025 due to the misstatements aggregating to ₱978,431,848.08 on account of errors, omissions and improper accounting treatment of transactions that are considered departures from the IPSAS.

The audit of the financial statements of the Municipality of Amulung, Cagayan disclosed misstatements totaling to ₱978,431,848.08, in absolute value, which is material to modify the auditor's opinion based on the overall planning materiality of ₱5,139,631.35, summarized, as follows:

Account	Assets	Equity/ Revenue/ Expense	Total
Property, Plant, and Equipment (PPE)	₱923,224,708.26		₱923,224,708.26
Donations		33,814,200.00	33,814,200.00
Donations		14,483,000.00	14,483,000.00
Other Maintenance and Operating Expense (OMOE)		5,406,318.39	5,406,318.39
Construction in Progress	791,907.63		791,907.63
Drugs and Medicine Inventory	711,713.80		711,713.80
Total:	**₱924,728,329.69**	**₱53,703,518.39**	**₱978,431,848.08**

As a result, the following accounts in the financial statements of the Municipality of Amulung, Cagayan were misstated, as follows:

Account	Understatement	Overstatement	Observation No.
Property, Plant, and Equipment (PPE)		₱923,224,708.26	1
Donations		33,814,200.00	2
Drugs and Medicine Inventory		711,713.80	2
Donations		14,483,000.00	3
Other Maintenance and Operating Expense (OMOE)		5,406,318.39	3
Construction in Progress		791,907.63	4
Total:		**₱978,431,848.08**	

VI. Summary of Significant Observations and Recommendations

The significant audit observations and recommendations for CY 2025 other than the bases for the modified opinion that need immediate attention and action by the Municipality of Amulung, are as follows:

1. **Subsidy to Local Government Units amounting to P7.818 million were granted to designated grantees pursuant to Municipal Ordinance No. 2021-16, without strict compliance with therein specified conditions, in violation of Section 305 (a) of Republic Act No. 7160 and COA Circular No. 2012-001 dated June 14, 2012.**

   We recommended that the Management:

   A. Submit a justification on why the disbursement, relative to the payment of honoraria, should not be disallowed in audit; and

   B. Direct the concerned offices to strengthen internal control procedures by instituting a review mechanism to ascertain that grantees have satisfactorily complied with all the conditions and requirements set forth in the ordinance before any payment is made

2. **The LGU utilized ₱41.115 million or 41.08 percent of the total available 20% Development Fund appropriations of ₱100.086 million in CY 2025, which resulted in the full implementation of 20 Programs, Projects, and Activities (PPAs) amounting to ₱38.615 million and the partial implementation of 1 PPA, with cumulative obligation of ₱40.069 million.**

   However, out of the approved PPAs, an aggregate appropriation totaling ₱58.970 million remained unimplemented, resulting in low overall fund utilization, which is not in compliance with applicable provisions of the DBM-DOF-DILG Joint Memorandum Circular (JMC) No. 1 dated November 4, 2020, resulting in delayed or non-delivery of the desired socio-economic development and environmental outcomes of the Municipality.

We recommended that the Management identify and immediately address the causes of delay and ensure that the development projects to be funded out of the 20% DF are properly planned and procurement-ready prior to implementation, in order to optimize the utilization and effectively achieve the Municipality's intended socio-economic and environmental development objectives.

3. **The LGU has utilized ₱10.871 million, or 74.24 percent of its current appropriations under the Local Disaster Risk Reduction and Management Fund (LDRRMF) amounting to ₱14.643 million as of December 31, 2025, thereby advancing its objectives of mitigating disaster risks and enhancing disaster preparedness and response capacities in compliance with Section 21 of Republic Act No. 10121.**

   However, a substantial portion of the total LDRRM fund for CY 2025 amounting to ₱11.112 million remained unutilized, resulting in an overall utilization rate of only 59.94 percent of the total available LDRRMF of ₱27.738 million, which reflects suboptimal performance and does not fully align with the principles of efficiency, economy, and effectiveness required for government operations under Section 2 of Presidential Decree No. 1445.

   We recommended that the Management, through the Municipal Disaster Risk Reduction and Management Office, mitigate disaster risk and maximize disaster preparedness and response capacities in the LGU by:

   A. Promptly programming and allocating the remaining balances of continuing appropriations and the Trust Fund into well-defined, time-bound, and impact-oriented programs, projects, and activities (PPAs); and

   B. Ensuring that the PPAs funded under the 5% LDRRMF are judiciously planned and procurement and implementation-ready to avoid delays in project execution and thereby improve fund utilization.

VII. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	
Disallowances					
Prior Years	13,607,345.54	-	-	13,607,345.54	0.00%
Current Years	-	-	-	-	
Total	13,607,345.54	-	-	13,607,345.54	0.00%
Charges					
Prior Years	-	-	-	-	
Current Years	-	-	-	-	
Total	-	-	-	-	

VIII. Status of Implementation of Prior Year's Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in CY 2024 Annual Audit Report are summarized as follows:

Implemented	15
Not Implemented	3
Not Implemented and Reiterated in CY 2025 AAR	8
Total	**26**